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2027 CYCLE

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CUET UG

Business Studies

Controlling

Official Syllabus Unit VIII · Class 12 · CUET UG 2027 Cycle Notes

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Aligned to the latest official syllabus · Concept-first explanations

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit VIII)	Skills the questions test
Meaning and importance	Meaning and importance.	Stating controlling as comparing actual with planned standards and acting on deviations, and matching each importance point to a business situation.
Planning–controlling relationship	Relationship between planning and controlling.	Explaining that planning supplies the standards, controlling completes the loop, and that both are forward- and backward-looking — the classic two-way comparison.
Steps in the process of control	Steps in the process of control.	Ordering the four steps — set standards, measure, compare, analyse deviations and correct — and naming the step a described action belongs to.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. Unit VIII is compact but conceptual: the planning–controlling twinship and the four-step cycle supply nearly every question, with critical point control and management by exception as the named ideas inside step four.

What Controlling Actually Is

The plan promised 10,000 units at ₹50 each, delivered in 48 hours. The month ends. Now comes the question that keeps management honest: **did we actually do what we said we would?** Controlling answers it — systematically. It measures what really happened, holds it against the

standard that planning fixed, finds the gap, and does something about the gap. Without this loop, planning is a wish list and performance drifts wherever it likes.

- **Definition:** controlling means **comparing actual performance with the planned standards**, finding out the **deviations**, and taking **corrective action** so that goals are achieved.
- **A managerial function at every level:** every manager controls the work under them — the supervisor checks the day's output, the CEO checks the year's results.
- **Not bossing:** controlling measures performance **against standards** — it is about goals and numbers, not scolding people.

Why controlling matters — the importance

- **Accomplishing goals:** the control loop keeps efforts pointed at the plan — deviations get caught early, and the goal survives the journey.
- **Judging the accuracy of standards:** experience of controlling also tests the standards themselves — unrealistic targets are exposed and improved.
- **Making efficient use of resources:** by tracking cost, time and quality against benchmarks, control exposes waste and directs resources where they pay.
- **Improving motivation:** employees who know performance is measured — and rewarded against standards — work with more care and energy.
- **Ensuring order and discipline:** honest reporting against standards creates a culture of accountability; discipline follows naturally.
- **Facilitating coordination:** standards and measurement knit departments together — each one's targets and results fit into the whole.

Planning and Controlling — Inseparable Twins

The syllabus singles out this relationship because it is the conceptual heart of the unit — and questions return to it year after year. The two functions are **not two separate activities**: they are the two halves of one cycle.

- **Planning is the basis of controlling:** every comparison in controlling is made against a **standard that planning set** — the target, the budget, the timeline. Take the plan away and control has nothing to measure against.
- **Controlling completes planning:** the deviations and lessons found by controlling feed the **next round of planning** — better standards, better premises, better choices.
- **Both look backward and forward:** planning is **forward-looking** (it prepares for the future) and controlling is **backward-looking** (it compares what happened) — yet controlling's corrections shape the future, and planning's standards shape what will be measured. Each reaches into the other's time.
- **The loop line to memorise: planning without controlling is blind; controlling without planning is meaningless.**

Point	Planning	Controlling
Direction of thought	Forward — designs the future course	Backward — reviews what has happened

Point	Planning	Controlling
Contribution to the other	Supplies the **standards** control needs	Supplies the **feedback** planning needs
Position in the cycle	First function — opens the cycle	Last function — closes and restarts the cycle
The pair's rule	Planning without controlling is **blind**	Controlling without planning is **meaningless**

The Control Process — Four Steps

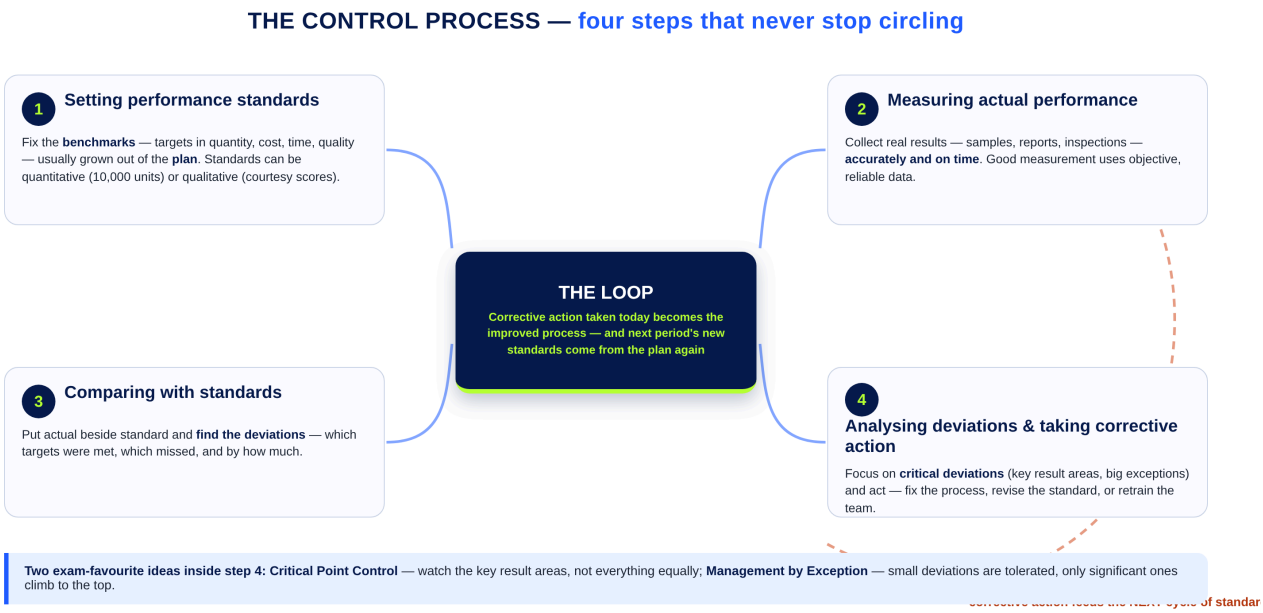


Figure 1: Figure 1 — The control process: four steps circling from standards to corrective action, with critical point control and management by exception inside step four.

- **Step 1 — Setting performance standards:** fix the benchmarks against which performance will be judged — in **units, cost, time or quality**. Standards may be **quantitative** (10,000 units, ₹5 lakh, 48 hours) or **qualitative** (courtesy of staff, quality of service), in which case firms convert them into measurable proxies — complaint counts, survey scores.
- **Step 2 — Measuring actual performance:** collect real results through samples, reports and inspections — **accurately, objectively and on time**, because a wrong measurement poisons every later step.
- **Step 3 — Comparing performance with standards:** put actual beside standard and size the gap — which targets were met, which missed, and by how much. Percentage deviations, cost gaps and unit shortfalls all surface here.
- **Step 4 — Analysing deviations and taking corrective action:** not every gap deserves equal attention — **critical point control** keeps watch on the key result areas,

and **management by exception** escalates only significant deviations to higher levels. Then act: fix the process, revise an unrealistic standard, or retrain and reassign the team.

THE FOUR STEPS — ONE LINE EACH

Set standards → Measure actual performance → Compare and find deviations → Analyse (critical points, exceptions) and take corrective action.

EVERYDAY EXAMPLE — THE SCHOOL EXAM CYCLE

Teachers **set standards** (the syllabus and the pass marks), **measure** (the test papers), **compare** (the marks against the pass line), and **act** — extra classes for the topics where the class fell short, or a re-exam when the paper itself was unfair. Next term's teaching plan absorbs every lesson. A school term is the control cycle, four times a year, with report cards in place of dashboards.

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT VIII (CONTROLLING)

Term / fact	What it means	Example / number
Controlling (meaning)	Compare actual with standards, find deviations, take corrective action	A loop, not an event
Importance (6)	Goals, judging standards, efficient resources, motivation, order and discipline, coordination	Accountability culture
Planning as basis	Plan supplies the **standards** control measures against	10,000 units at ₹50 in 48 hours
Controlling completes planning	Deviations and lessons feed the **next plan**	This year's misses, next year's targets
The loop line	Planning without controlling is **blind**; controlling without planning is **meaningless**	Both look forward and backward
Step 1	Setting performance standards — quantitative or qualitative	Units, ₹, hours; courtesy via survey scores
Step 2	Measuring actual performance — accurate, objective, on time	Samples, reports, inspections

Term / fact	What it means	Example / number
Step 3	Comparing with standards — size each deviation	Percentage gaps, unit shortfalls
Step 4	Analyse deviations + corrective action	Fix process / revise standard / retrain
Critical Point Control	Watch key result areas, not everything equally	Production bottleneck first
Management by Exception	Only significant deviations climb to the top	±5% handled below; ±20% escalates

Carry everywhere: standards come **from planning**; the process is a **circle**, not a line; step 4 hides the two named ideas — critical point control and management by exception.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"Controlling is the last function, so it ends the cycle"	It closes **and restarts** the cycle — corrective action becomes the next plan's input	The process diagram is a circle; the exam rewards seeing the loop, not the line.
"Controlling means scolding employees for mistakes"	Controlling means **measuring against standards** and correcting the **process**	Standards, not tempers — discipline is one by-product, not the definition.
"Any deviation must be reported to top management"	**Management by exception** — only significant deviations escalate; small ones are handled below	Escalating everything buries the top in noise and delays the big calls.
"Controlling can exist without planning"	Control without planning is **meaningless** — there are no standards to compare with	The twinship is the unit's heart; expect at least one question on it.
"Qualitative standards cannot be measured at all"	They are converted into **measurable proxies** —	"Courtesy of staff" becomes an average service score — measurable.

The mistake students make	What is right	The why / the trap
	complaint counts, survey scores, return rates	
"Measuring performance decides everything"	A wrong or late **measurement** poisons comparison and action — measurement must be accurate, objective, timely	Garbage in, garbage out — step 2 protects every later step.

- **Spot the pattern:** the traps hide in **direction** — who supplies what, which way the loop runs, what escalates and what does not. Draw the circle and the answers follow.
- **One special case:** when a question says "only deviations above 10% are reported to the general manager" — the named idea is **management by exception**, part of step four.

The Whole Chapter on One Page

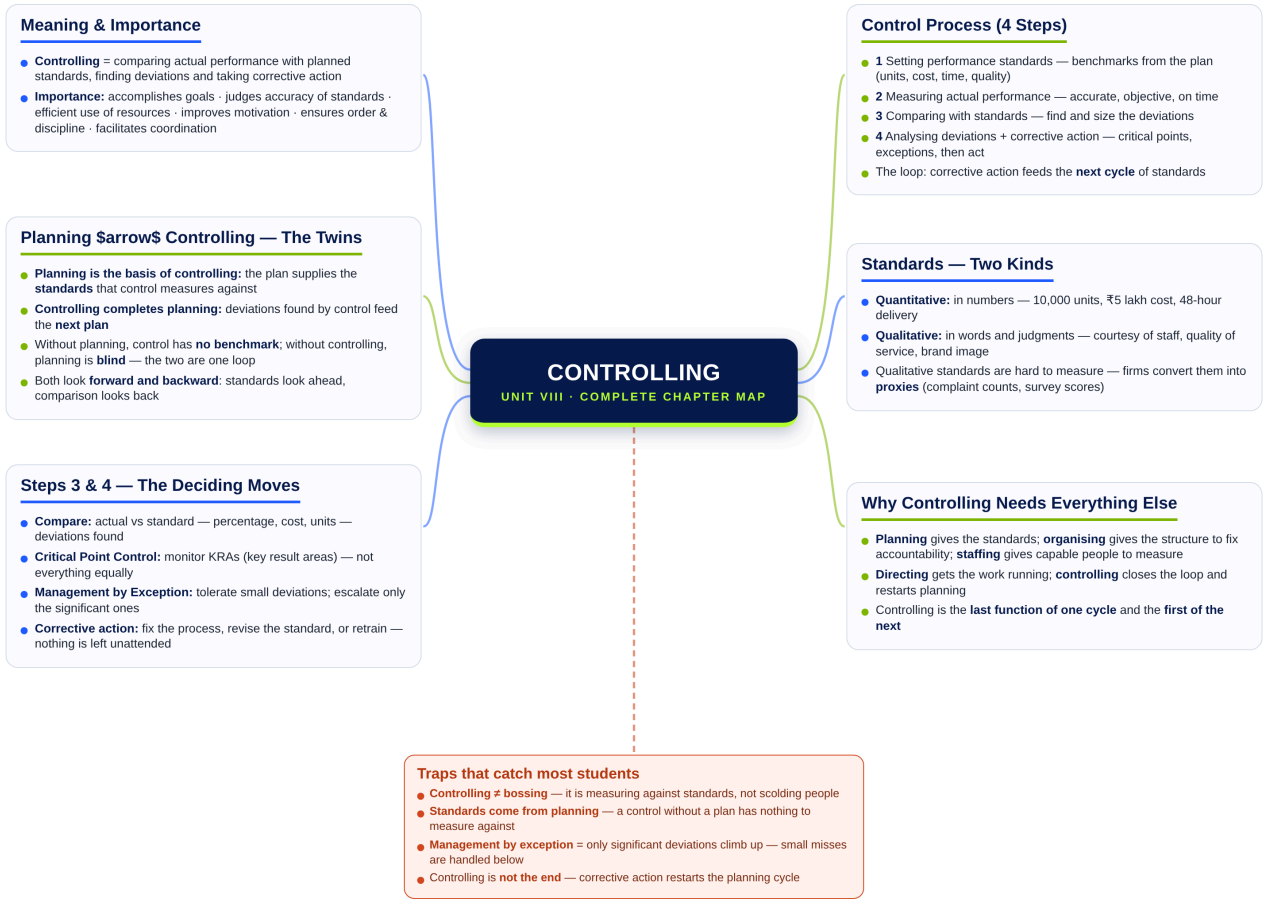


Figure 2: Figure 2 — Whole chapter on one page: meaning and importance, the planning-controlling twinship, the four-step process, the two kinds of standards, and the four traps that catch most students.

Practice Questions

Q1. Controlling as a function of management means:

(A) ordering employees to work harder
(B) comparing actual performance with planned standards and taking corrective action on deviations
(C) preparing budgets for the next year
(D) recruiting the right employees for each job

Q2. Why is controlling called a backward-looking as well as a forward-looking function?

(A) it compares past performance and its corrections shape future plans
(B) it only reviews the past
(C) it only prepares for the future
(D) it neither looks backward nor forward

Q3. The standards against which controlling measures performance are supplied by:

(A) organising
(B) staffing
(C) planning
(D) directing

Q4. The first step of the control process is:

(A) measuring actual performance
(B) setting performance standards
(C) comparing performance with standards
(D) analysing deviations

Q5. "Only deviations of more than 10% from the standard are reported to top management; smaller gaps are settled at lower levels." The idea described is:

(A) critical point control
(B) management by exception
(C) job enrichment
(D) span of management

Q6. A factory tracks its production bottleneck and machine downtime most closely, since these decide the whole plant's output, and watches them more than routine figures. The idea is:

(A) critical point control
(B) management by exception
(C) quantitative standards
(D) corrective action

Q7. Which of the following is a **qualitative** standard?

(A) produce 10,000 units per month
(B) keep production cost at ₹50 per unit
(C) deliver orders within 48 hours
(D) maintain courtesy of staff toward customers

Q8. "Planning is meaningless without controlling and controlling is blind without planning." The relationship shown is:

(A) both are separate and independent functions
(B) planning supplies the standards and controlling feeds back the lessons — one continuous loop
(C) controlling replaces planning after implementation
(D) planning is done by top level, controlling by supervisory level only

Q9. Actual output was 9,000 units against a standard of 10,000. The manager finds a machine fault and repairs it to prevent a repeat. Which step of the control process does the repair belong to?

(A) setting performance standards
(B) measuring actual performance
(C) comparing with standards
(D) taking corrective action

Q10. Which importance point of controlling is served when tracked cost and time figures expose waste and redirect resources to their best use?

(A) judging the accuracy of standards
(B) efficient use of resources
(C) ensuring order and discipline
(D) improving motivation

Solutions

Sol. Q1. Controlling is the **measuring** function: actual performance is compared with the **planned standards**, deviations are found and **corrective action** follows. Ordering employees is directing; budgets belong to planning.

Answer: (B)

Sol. Q2. Controlling looks **backward** — it reviews performance already achieved against standards — and **forward**, because its corrections and lessons shape the next plan. Both directions together keep the cycle alive.

Answer: (A)

Sol. Q3. Every comparison needs a benchmark, and benchmarks are the **targets, budgets and timelines that planning set**. Planning is the basis of controlling — without it, control has nothing to measure against.

Answer: (C)

Sol. Q4. The cycle opens by **setting performance standards** — the benchmarks in units, cost, time or quality. Measuring comes second, comparing third, and corrective action last.

Answer: (B)

Sol. Q5. Escalating only **significant** deviations while small gaps are settled below is **management by exception** — it protects top management's time for the deviations that truly matter.

Answer: (B)

Sol. Q6. Concentrating attention on the **key result areas** — the factors that decide overall output — is **critical point control**. Management by exception is about the **size** of deviations; this is about the **importance** of the point watched.

Answer: (A)

Sol. Q7. Courtesy of staff expresses a **quality of behaviour**, not a number — a **qualitative** standard, usually converted into proxies like survey scores or complaint counts. The other three are stated in figures.

Answer: (D)

Sol. Q8. Planning supplies the **standards**; controlling supplies the **feedback** that improves the next plan — the two form one continuous loop. Neither replaces the other, and both happen at every level.

Answer: (B)

Sol. Q9. Finding and fixing the **cause** of the deviation — repairing the machine — is **corrective action**, the final step. Measuring happened when the shortfall was counted; comparing happened when the gap was noticed.

Answer: (D)

Sol. Q10. Tracked figures that **expose waste and redirect resources** demonstrate the **efficient use of resources** — one of the six importance points of controlling.

Answer: (B)

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